
TEAM TRANSAKT — BEEM063 FINTECH HACKATHON

Blockmediary

Programmable documentary escrow for SME cross-border trade.

Build the trust layer for global trade.

SMEs are priced out of the instrument that made global trade work.

Documentary credit solved trust in trade. But the same KYB, sanctions, document examination, and capital work sits behind a \$10K shipment and a \$5M shipment. Banks choose the economics.

Result: low-value cross-border trade still depends on cash in advance, informal trust, or deals that never happen.

Investor question

Who can make seller certainty and buyer control economical at SME deal sizes?

\$2.5T

global SME trade finance gap

ADB 2025

~45%

SME rejection rate

trade finance access pain

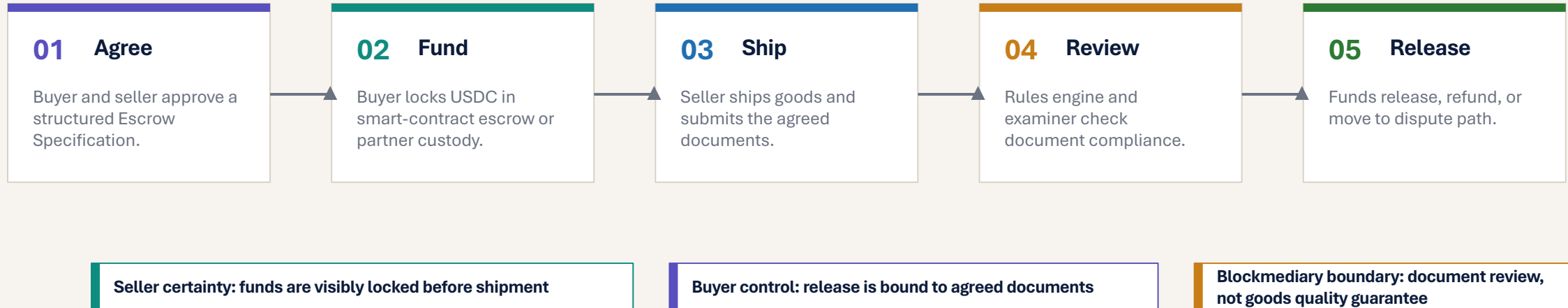
\$10K-\$50K

LC dead zone

too large for trust, too small for banks

Blockmediary turns documentary credit into a programmable escrow workflow.

The product does not replace trade law. It converts agreed, payment-relevant terms into a signed escrow specification, then releases funds when submitted documents are apparently compliant.



LIVE DEMO

Recorded on Base Mainnet - real USDC, no simulation.

That was real money, on a public chain.

Not a testnet run and not a simulation: an end-to-end documentary settlement executed on Base Mainnet, August 2026.

Released

final state of the deal

funds paid to the seller on document proof

4 transactions

agreement, funding, verdict, release

every stage carries its own hash

Non-custodial

the contract held the funds

at no point could the company spend them

Verify the release yourself:

<https://basescan.org/tx/0xd688a6cb7e4a2a13d5b939115c056a44fb486eac08837403b5d161fe60d7ec1e>

Every funded competitor releases on buyer approval, not document proof.

Tazapay, Truzo, XREX and Komgo all wait for a human signal to pay. Contour tried full automation and folded.

■ Tazapay	Releases on buyer approval · 0.8% - 3.8%	Active
■ Truzo	Releases on delivery confirmation · 0.22% - 3.1% + £25 surcharge	Active, narrow corridor
■ XREX	Releases on buyer approval · <1% + 10 USDT/escrow	Active
■ Komgo	Follows the LC process · fee not disclosed	Active, banks only
■ Contour	Backed by HSBC / StanChart / Citi, \$18.3m raised	Shut down Nov 2023
■ Blockmediary	Releases on document compliance · 0.8% / 1.5% / 3.0%, tiered	Building

Contour was the most-funded LC-replacement attempt, and it still failed structurally.

The gap stayed open.

The register grew from 15 items to 31 and reversed our UAE route.

June 8 named ADGM/DIFC as a pair. Since then: five risks that changed the plan, not just the paperwork.

■ UAE ROUTE

DIFC partner-led pilot (Month 12) + parallel VARA licence (Month 18), ADGM option dropped

■ GDPR

specHash (roadmap): committing it to a public chain could still count as personal data under GDPR Art. 17

■ RELEASER KEY

Key compromise = FCA/VARA breach notification + POCA criminal liability, not just a technical risk

■ CONSUMER DUTY

Most SME users are retail customers under FCA rules, and the duty applies in full

■ UCP 600

From “UCP 600-inspired” to an article-by-article, Incoterm-by-Incoterm document checklist

Full sourcing, mitigation and the remaining 26 items: supplementary PDF.

15 → 31 items

The wedge is narrow. The trade behind it is not.

TAM

\$1.03T

UAE non-oil foreign trade, 2025

SAM

~\$65B

UAE-India CEPA non-oil corridor

SOM

~\$110M

processed, Y1-Y3

BEACHHEAD LOGIC

- 1 UAE importers of Indian textiles, garments and consumer goods.
- 2 \$10K-\$50K shipments — the LC dead zone: too small for a bank to issue against, too large to pay on trust.
- 3 Repeat trade pattern creates a retention surface.

Where the gap bites hardest, and where the regulators are most ready.

Trade value we settle against — not a financing gap we fund.

The Business Opportunity <i>Where is the gap in the market, and how do you intend to fill it?</i> The Problem • Same fixed compliance cost on a \$10K trade as a \$5M trade • SME ticket sizes uneconomic for banks at scale • \$2.5T global trade finance gap (ADB, 2025); 41% of SME applications rejected • Rejected SMEs fall back on trust, prepayment, or drop the trade Our Solution • UCP 600-inspired documentary release, stablecoin settlement, no issuing bank • Buyer escrow → seller documents → release on compliant presentation • Four verification layers plus an invoked escalation route • Blockmediary addresses the documentary trust and	Business Description <i>Brief outline of your business model</i> • Documentary escrow operator: verification, release rules, settlement • Smart-contract escrow holds stablecoins against documentary release rules • UCP 600-inspired Article 14 release logic — a Trade Escrow Agreement, not an LC • Settlement on stablecoin rails (USDC), not bank correspondent networks • Not a bank: no deposits, no lending, no token issuance • Not DeFi: centralised trust and compliance layer by design • Pilot planned through a suitably DFSA-authorised partner, subject to confirmed permissions and executed agreements • First paid deal targeted Month 12; full VARA licence Month 18 — the gate for UAE-wide scale	Target Market Sector & geography • SME importers/exporters; UAE launch market • Corridor: UAE–India (CEPA); more added per pilot envelope • Sectors: manufacturing, consumer goods, electronics, textiles • Ticket: the \$10K–\$50K “LC dead zone”; average deal £31K → £48K by Y5 Strategic goals • Payment without LC cost or bank issuance delay • Counterparty access without bank gatekeeping • Verified trade reputation that travels across deals Pain points & risks • LC pricing and access barrier at SME tickets • Pre-shipment payment-trust gap • Document fraud and discrepancy risk	USPs <i>How does your product/service compare? What makes you unique?</i> • UCP 600-inspired documentary release on stablecoin rails • Four-layer verification: screening → extraction → source corroboration → contracted examiner • Customer-selected verification tiers — speed traded against cost of trust • Two-track UAE route: DIFC partner pilot, then own VARA licence for scale • Modelled to undercut traditional LC fees on Tier A and selected Tier B transactions • Compliance-first by design: not a bank, not DeFi
Revenue Streams • A. Tiered escrow fee: 0.8% / 1.5% / 3.0% by verification tier • B. Dispute, expedited and onboarding fees • C. Partner/API setup and committed-volume fees Projected revenue — base case • Year 3: £1.37m revenue on 2,000 deals and £76m GMV • Blended take rate falls 2.0% → 1.0% as Tier A grows 15% → 70% • Gross margin 71–79%; ancillary fees 25% of Y3 revenue, 17% by Y5 • Monthly cash-flow break-even in Year 4, Month 8	Costs Funding requirement • £3.06m operating funding to break-even; £319k VARA capital separate Fixed • Payroll — 8 FTE at launch to 24 by Year 5; dominant cost • Compliance, MLRO, VARA supervision and operational resilience • Engineering, cloud, monitoring and security tooling • Insurance (PI, cyber, D&O) and legal retainer Variable (per deal) • eBL/carrier API lookup, or paper collection • Contracted documentary examiner time • KYB/KYC screening per new counterparty • On-chain gas and settlement cost • Dispute handling and enhanced review above £50K	Channels <i>How will you promote your product or service?</i> Direct • Dubai and Sharjah chambers of commerce • Freight forwarder referrals • DIFC FinTech Hive; Gulfood, GITEX, Dubai FinTech Summit Indirect • Regulated-partner distribution — the base case's primary scale route • Fintech wallet integrations (white-label verification API) • Logistics platform API partnerships	Competition <i>Who are your competitors and what are their USPs?</i> • Bank-issued LCs — trust and networks; 1–3% commission before the fee stack • Tazapay — escrow-as-a-service; manual review, custodial fiat rails • Truzo — narrow UK–South Africa corridor; escrow wallet, no document layer • XREX — licensed custodial escrow; releases on agreement, not documents • Komgo / Contour — bank-consortium LC digitisation; Contour shut in 2023

Sources: ADB (2025); ICC UCP 600 (2007); VARA Rulebook (2026); Blockmediary financial model and legal & compliance risk register, 13 Aug 2026. UCP 600-inspired release logic; not a letter of credit. Pilot planned through a suitably DFSA-authorised partner, subject to confirmed permissions and executed agreements. Blockmediary provides documentary escrow and payment assurance, not working-capital finance. Figures are base case. GMV is trade value processed, not revenue.

Every verified trade earns revenue, while partner channels add scale.

Customers choose a verification tier based on document complexity. Blockmediary earns transaction and review fees without lending, FX trading or using client funds.

A Escrow fees

0.8% / 1.5% / 3.0% by eBL, carrier API or paper workflow; minimum £150 / £250 / £500.

core revenue on every deal

B Document fees

£25 / £90 / £300 review fee by tier; onboarding and dispute fees apply only when used.

prices operational complexity

C Partner / API

Setup and committed-volume fees from platforms, wallets and logistics partners.

scales distribution, not balance sheet

2.0% → 1.0%

blended take rate

falls as Tier A grows

17%–26%

ancillary revenue

modelled share

71%–79%

gross margin

base-case range

Year 3 base case

2,000 deals | £76m GMV
£1.37m revenue | 77% margin

Working rail today. Paid pilot M12. Full VARA licence target M18.

Where we are against the plan — and the base case it funds.

TODAY Working prototype - real settlement executed on Base Mainnet

M12 Paid partner-led pilot in DIFC - first receipts M13

M18 Full VARA licence target

Y4 M8 Monthly cash-flow break-even (base case)

Base case revenue engine 2,000 deals × £38k avg = £76m trade value processed → £1.37m Y3 revenue at 77% gross margin

Illustrative forecast, not current trading. Tiered escrow take rate plus ancillary fees; client funds excluded from operating cash.

Base case projects £1.37m Year 3 revenue and monthly cash-flow break-even in Y4 M8.

Illustrative forecast—no currency trading: paid partner-led pilot M12; first receipts M13; full VARA licence target M18.

Month 12

paid partner-led pilot

receipts M13; licence target M18

£76m

Y3 trade value processed

GMV—not company revenue

£1.37m

Y3 annual revenue

77% gross margin

Y4 M8

monthly cash-flow break-even

low >M60; high Y4 M4

Base-case revenue engine

$$\begin{array}{ccccc} \boxed{2,000} & \times & \boxed{£38k} & = & \boxed{£76m} \\ \text{deals} & & \text{average trade} & & \text{trade value} \end{array}$$

Tiered escrow take rate + ancillary fees

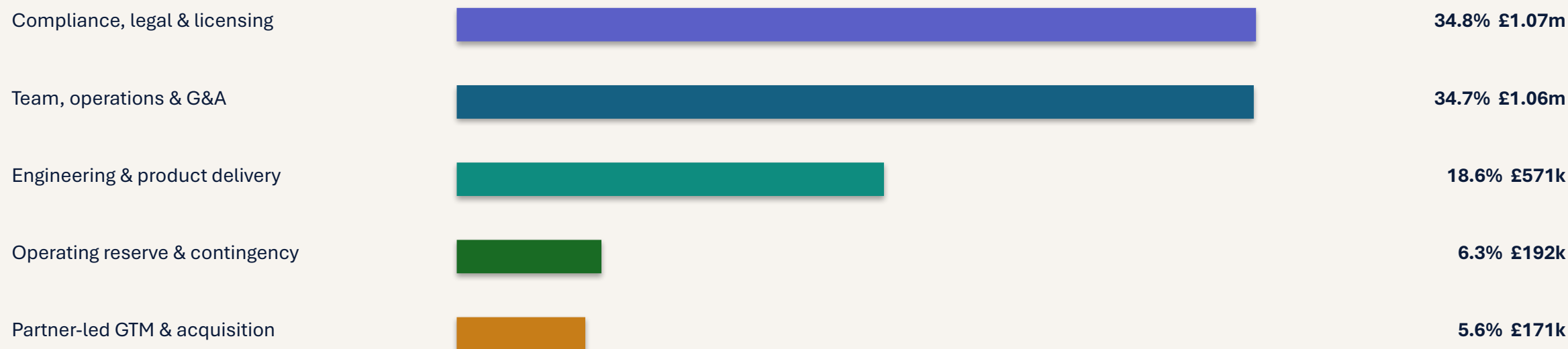
→ £1.37m revenue · 77% gross margin

Commercial guardrails

- 333 customers × ~6 annual deals via partners
- Y3 revenue: £1.04m / £1.37m / £1.91m
- Break-even: >M60 / Y4 M8 / Y4 M4
- Client funds excluded from operating cash

Seeking £3.06m in staged operating capital for UAE launch.

The base case funds the people and permissions required to reach monthly cash-flow break-even.



£319k future restricted VARA capital — separate from the operating ask; not runway

£3.063m operating ask

TEAM TRANSAKT

The trust layer for global trade - already settling.

LIVE PROTOTYPE

block-med-nine.vercel.app

SOURCE & DOCUMENTS

github.com/nchengg/BlockMed

THE SETTLEMENT

[https://basescan.org/tx/
0xd688a6cb7e4a2a13d5b939115c056a44fb486eac08837403b5d161fe60d7ec1e](https://basescan.org/tx/0xd688a6cb7e4a2a13d5b939115c056a44fb486eac08837403b5d161fe60d7ec1e)